

1.3 VALUE-ADDED APPROACH

Multiple Choice Questions

1992/CE/II/13

Which of the following can lead to the conclusion that the manufacturing sector in Hong Kong is declining in its contribution to Hong Kong's Gross Domestic Product (GDP)?

- A. The number of workers in this sector is decreasing.
- B. The number of firms in this sector is decreasing.
- C. The wage rates in this sector are decreasing.
- D. The value added of this sector is decreasing.

1992/CE/II/46

Which of the following ways of measuring output involves double counting?

- A. summing up the expenditures on all final goods and services
- B. summing up the incomes earned by all factors of production
- C. summing up the values added in all production stages
- D. summing up the values of all market transactions

1995/CE/II/59

Year	Real GDP value-added per employee	
	1982	1992
Manufacturing sector	\$41 000	\$165 000
Services sector	\$103 000	\$280 000

Which of the following statements is **NOT** a conclusion drawn from the above table?

- A. The manufacturing sector had a higher labour productivity in 1992 than in 1982.
- B. The services sector had a higher labour productivity in 1992 than in 1982.
- C. The services sector had a higher labour productivity than the manufacturing sector in 1992.
- D. The services sector had a higher labour productivity growth rate than the manufacturing sector.

1998/CE/II/25

The following transactions were recorded in an economy in a certain year:

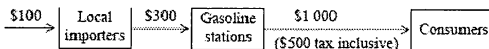
- (1) Firm A sold its products to Firm B for \$100 and Firm C for \$200.
- (2) Firm B then resold part of the products to households for \$200 and the rest to other firms for \$300.
- (3) Firm C then exported the products for \$500.

In the above transactions what was the total contribution of Firm B and Firm C to the gross domestic product (GDP) of this economy?

- A. \$700
- B. \$900
- C. \$1 100
- D. \$1 300

2000/CE/II/35

The following diagram shows a production chain involving the import of \$100 worth of gasoline into Hong Kong:



What is the contribution of the production chain to Hong Kong's GDP at factor cost?

- A. \$400
- B. \$500
- C. \$900
- D. \$1 000

2002/CE/II/26

Nancy runs a boutique in Hong Kong. The following table shows the boutique's financial statement for a given period of time.

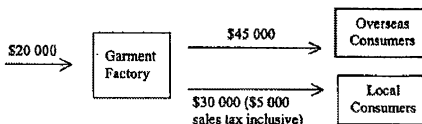
	(\$ 000)	(\$ 000)
Sales revenue of fashions		16 000
Less : Imported fashions	2 000	
Electricity & water charges	3 000	
Wage payment	2 500	
Profits tax	<u>1 500</u>	<u>9 000</u>
Net profit		<u>7 000</u>

What is the contribution of Nancy's boutique to Hong Kong's GDP in thousand dollars?

- A. 7 000
- B. 11 000
- C. 14 000
- D. 16 000

2003/CE/II/27

The following diagram shows the production of a garment factory in Economy A. The factory imports \$20000 worth of raw materials.

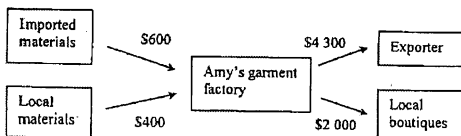


What is the contribution of the garment factory to Economy A's GDP at factor cost?

- A. \$10 000
- B. \$50 000
- C. \$55 000
- D. \$75 000

2004/CE/II/27

The following diagram shows a production process of an economy.

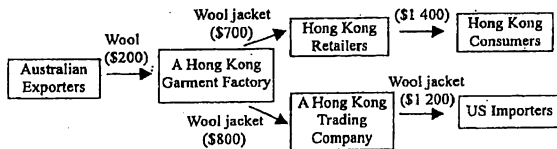


What is the contribution of Amy's garment factory to the national income of the economy?

- A. \$1 600
- B. \$3 700
- C. \$5 300
- D. \$5 900

2005/CE/II/28

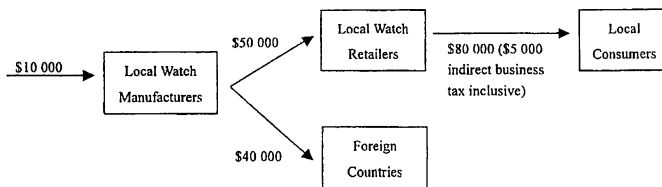
A production chain is shown below.



The contribution of the above production chain to Hong Kong's GDP is

- A. \$1 400.
- B. \$1 700.
- C. \$2 400.
- D. \$2 600.

Answer questions 28 and 29 by referring to the following production chain of watches in an economy. The local watch manufacturers import \$10 000 worth of raw materials.



2007/CE/II/28

What is the contribution of the above production chain to the economy's GDP at market prices?

- A. \$105 000
- B. \$110 000
- C. \$115 000
- D. \$120 000

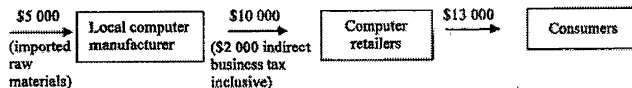
2007/CE/II/29

Which of the contribution of the local watch retailers to the economy's GDP at factor cost?

- A. \$25 000
- B. \$30 000
- C. \$75 000
- D. \$80 000

2009/CE/II/27

The following diagram shows a production chain of computers in an economy. It involves the import of \$5 000 worth of raw materials.

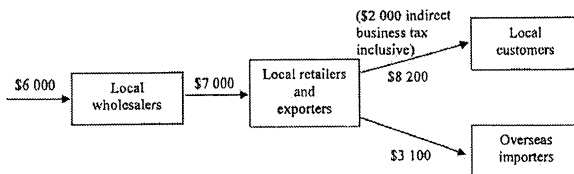


What is the contribution of the above production chain to the economy's gross domestic product (GDP) at factor cost?

- A. \$6 000
- B. \$8 000
- C. \$10 000
- D. \$13 000

2010/CE/II/28

The following diagram shows a production chain of computers in an economy. It involves the import of \$6 000 worth of raw materials.

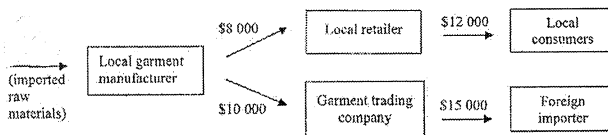


What is the contribution of the above production chain to the economy's GDP at factor cost ?

- A. \$3 300
- B. \$5 300
- C. \$9 300
- D. \$11 300

2011/CE/II/26

The following diagram shows a production chain of garments in an economy. It also indicates the selling price of the output in different stages of the production. The imported raw materials are worth \$6 000.

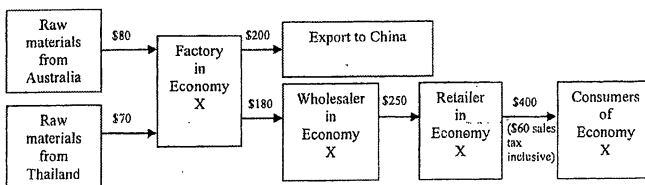


Suppose the garment trading company has received \$1 000 export subsidy from the government. What is the contribution of the above production chain to the economy's GDP at factor cost?

- A. \$20 000
- B. \$22 000
- C. \$26 000
- D. \$28 000

2014/DSE/I/24

The following diagram shows a production chain of a good in Economy X:

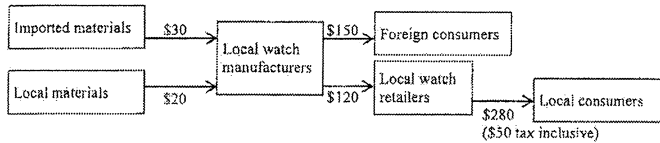


What is the contribution of the production chain to the Gross Domestic Product (GDP) at market price of Economy X?

- A. \$340
- B. \$390
- C. \$450
- D. \$600

2017/DSE/I/25

The following diagram shows a production chain of watches in an economy:

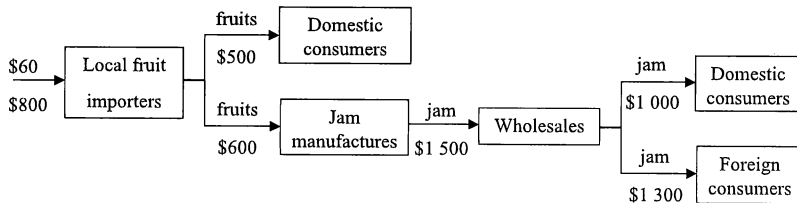


The contribution of the local watch manufacturer to the economy's GDP at market prices is _____.

- A. \$220
- B. \$240
- C. \$350
- D. \$400

2019/DSE/I/26

Refer to the following production chain in Country A and answer the question.

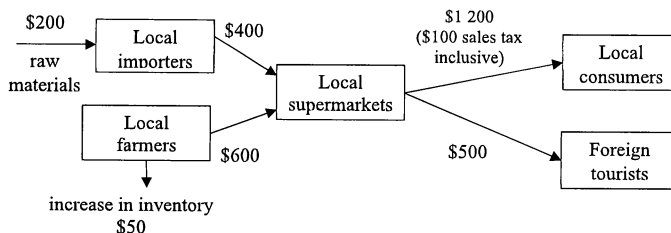


Suppose the above production chain has included a subsidy of \$300 that is given to the jam manufacturers. What is the contribution of the above production chain to Country A's GDP at factor cost?

- A. \$1 700
- B. \$1 800
- C. \$2 000
- D. \$2 300

2021/DSE/I/23

A production chain of Good X in an economy is shown below.



The contribution of the above production chain to the economy's gross domestic product at factor cost is _____.

- A. \$1 400
- B. \$1 450
- C. \$1 500
- D. \$1 550

2022/DSE/I/24

Study the following data of an economy.

Components	\$ million
Private consumption expenditure	500
Gross domestic fixed capital formation	260
Decrease in stock	120
Government consumption expenditure	470
Total exports of goods	380
Re-exports of goods	140
Total imports of goods	220
Net exports of services	730
Depreciation	90
Indirect taxes	75

The gross domestic product (GDP) at factor cost is \$ _____ million.

- A. 1925
- B. 2065
- C. 2075
- D. 2165

Short & Structured Questions

1990/CE/1/3(a)(ii)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

	\$ Billion
Private consumption expenditure	255
Government consumption expenditure	30
Gross domestic fixed capital formation	109
Increase in stocks	10
Domestic exports of goods	218
Re-exports of goods	275
Imports of goods	501
Exports of services	86
Imports of services	56

(The GDP deflator for 1980 = 100)

The re-exports of goods has a greater value than the domestic exports of goods. Does it follow that re-exports contribute more to the national income of Hong Kong than domestic exports? Explain. (7 marks)

1994/CE/1/11(c)

The vegetable sales revenue of Mr Chan's farm for the year 1993 was \$100 000. Give **TWO** possible reasons to explain why the contribution of this farm to the gross domestic product (GDP) of the country in 1993 could be less than \$100 000. (6 marks)

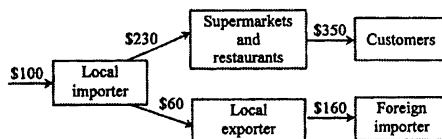
1997/CE/1/11(a)(ii)

Suppose \$ 1 million worth of seafood is imported to Hong Kong. Half of it is sold to local households at \$ 0.8 million and half to local restaurants at \$ 0.7 million. These restaurants cook and sell the seafood to their customers at \$ 1.6 million of which \$ 0.6 million is tourist spending.

- (I) The above transactions will also affect Hong Kong's GDP. Use **TWO** different measurement approaches to calculate the change. (4 marks)
- (II) Explain why the use of **EACH** of these two measurement approaches will not lead to the problem of double-counting. (4 marks)

1999/CE/1/9(c)

The following diagram shows a production chain involving the import of \$100 worth of red wine into Hong Kong. The sales value of different producers are indicated below:

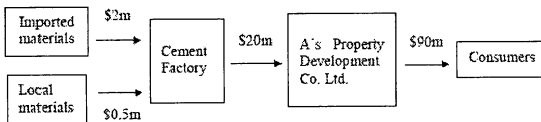


Calculate the contribution of the production chain to Hong Kong's national income by

- (i) the value-added approach. (3 marks)
- (ii) the expenditure approach. (3 marks)

2001/CE/11(a)(i)

Refer to the following production chain in Hong Kong:



Calculate the contribution of the above production chain to Hong Kong's GDP using the value-added approach. (3 marks)

2003/CE/1/9(b)(i)

Firm A is a local manufacturer in Hong Kong producing goods for export only.

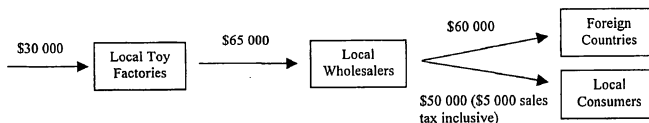
Give **TWO** reasons to explain why the contribution of this firm to Hong Kong's gross domestic product (GDP) in 2003 could be smaller than the total export value of this firm in 2003. (4 marks)

2004/CE/1/10(b)

The sales revenue of a local travel agency was reduced by \$200 million. Give **ONE** reason to explain why the reduction in that part of Hong Kong's GDP contributed by the travel agency is less than \$200 million. (2 marks)

2006/CE/1/5

The following diagram shows the production chain of toys in Economy A. Its toy factories import \$30 000 worth of raw materials.



Calculate the contribution of the above production chain to Economy A's

- gross domestic product (GDP) at factor cost using the expenditure approach. (3 marks)
- GDP at market prices using the value-added approach. (3 marks)

2014/DSE/II/11(b)

Suppose the sales revenue to the Japanese automobile exporters was 100 billion Japanese Yen in 2013. Give **TWO** reasons to explain why their contribution to Japan's GDP would be less than 100 billion Japanese Yen in 2013. (4 marks)